Exec offsite, Lisbon, 10-11 Sept 2026

Present: AO, DR, PN, HM. Marco (MB) joined Fri morning for the people session.

1. Priorities for 2027 (agreed)

1. Payouts to 25% of revenue by Q4 2027 (about 20% now)
2. Gross margin 60% by Q4 2027 (58% now)
3. If Heron goes ahead: integration first, no other M&A in 2027
4. KPE: Dublin team fully moved in, EU growth from Dublin

2. Heron

- DD reports due Fri 18/9
- Price stays at £86m. NO increase.
- Funding: £24m own cash + £30m Tamar Bank loan. DR to get the term sheet w/c 14/9
- Legal DD: Carrow Finch (UK), Almeida Reis (Portugal). Hartwell Moss on financial and tax
- Walk away if AT tax exposure is over €1m
- Both founders on 3-year contracts, or no deal
- DR + HM to write board memo by Thu 24/9
- Board vote Tue 20/10
- Tom W. needs the integration plan for the finance workstream. DR to share it with him only; HM to add him to the insider list

3. Headcount

- About 600 now. Lisbon is at 172, so the Lumen team can share the office from 2027
- Pause non-critical backfills from 1 Oct. Engineering and Compliance exempt
- Year-end target 625 (budget was 640)
- MB to send the list of paused roles by Fri 25/9

4. Dublin

- Lease at Harcourt Quay started 1/9 (KPC-2026-0412), rent-free to end of May 2027
- Furniture: 4 deliveries, last by end Nov (Liffey Office Interiors)
- Move-in early Dec
- KPE needs 2 more compliance hires (exempt from the pause)

5. Pricing

- Review of the Checkout standard plan (KC-STD-01). Jake to bring a proposal to Exec by 15/10
- AO: no price change before January

6. Q3

- Revenue tracking about £41m, gross margin 58%. DR to confirm after the September close

Actions

- AO: brief Margaret (Chair) on Heron DD, Mon 21/9
- DR + HM: Heron board memo, 24/9
- MB: list of paused roles, 25/9
- PN: plan to move Lumen hosting to Ashgrove, 2/10
- JM: KC-STD-01 proposal, 15/10